

P230/1

ENTREPRENEURSHIP EDUCATION

3hrs

MR.WABOMBA MUNIL

S.6 PRE-REGISTRATION ASESMENT, 2026

ENTREPRENEURSHIP EDUCATION

3HRS

INSTRUCTIONS TO CANDIDATES

This paper consists of **3** sections; **A, B and C**

Respond to two items in section **A**

Section **B** Is compulsory and respond to any one item in section **C**

Respond to **4** Items only

SECTION A

Respond to two items in this section

Item 1

Joseph has been given UGX 3M to start up a business of his own choice. His friend muzungu is advising him to startup a restaurant or a boutique dealing in sale of second hand clothes. Joseph is also trying to generate various business ideas but he doesn't know the suitable avenues to use. His friend muzungu claims that the suggested business ideas are in line with the economic environment of Uganda and therefore they are feasible and viable ideas. Joseph is still confused about the idea to undertake between the two suggested ideas. Joseph is still confused about the final idea to undertake. As a student of entrepreneurship education;

Task;

- a) select the suitable business for Joseph
- b) Describe the nature of the economic environment for the business selected in 1 (a) above in relation to the entrepreneurial environment in Uganda.

Item 2

Atlas restaurant offers a variety of food stuffs both local and international; the restaurant provides catering services (free training) to the community. Amidst several challenges, the business is currently on the verge of its collapse due to poor services it currently offers. According to reports, the restaurant now offers poor quality meals, uses low technology in production consisting of old model machines. Community members have advised the manager to effectively monitor the production sector and procure good quality raw materials. The internal weaknesses in the restaurant are rendering other rival firms strong and thus capturing a larger market.

Task;

As a student of entrepreneurship education, write a presentation guiding Atlas restaurant on selection of raw materials and ensuring quality production.

Item 3

In Uganda most people operate informal businesses. The high rates of ignorance have put their businesses at risk of collapsing. Very many proprietors do not acknowledge the value of meeting tax obligations. They have a practice of being non-tax compliant facilitating low economic developments in the country. URA is threatening to close down their trading activities for failure to meet government standards of operation. A few who are willing to meet the tax obligations do claim they don't know the various taxes to pay and procedure to follow to ensure compliance.

Task

Using your entrepreneurial skills to,

- a) Guide the traders on the right procedure to follow and various taxes to be paid to URA.

- b) Highlight to them on the dangers of their practice on their businesses.

SECTION B

This item is compulsory

Item 4

In the modern world today, a good number of businesses have failed to survive for so long. Some tend to fail at the initial stages of operation rendering most people unemployed. Your school entrepreneurship club is one of the model projects within the school community that has survived stiff competition from the teacher's ventures. As a result, the school administration has invited parents for meeting to promote entrepreneurship culture and has instructed the club patron to make you aware. The parents are interested in knowing the strategies you apply to withstand competition and the entrepreneurial skills you apply in your business.

Task

As a club member, write a presentation aiming at addressing the parent's interests.

SECTION C

Respond to one item in this section

Item 5

The treasurer of the teacher's canteen at wabomba secondary school presented the following statements to the members at their meeting.

Summary	shs
Net sales	240,000,000
Less cost of sales	180,000,000
Gross profit	60,000,000
Less operation expenses	25,000,000
Net profit	35,000,000

Note; the opening stock at start of 2024 was shs 23,000,000

TEACHER'S CANTEEN

BALANCE SHEET

AS AT 31ST /12/2024

DETAILS	SHS	DETAILS	SHS
Capital	89,000,000	Fixed assets	
Add net profit	35,000,000	Buildings	82,000,000
	124,000,000	Furniture	50,000,000
Less drawings	10,000,000	Current assets	
Owners' equity	114,000,000	Stock	47,000,000
Long term liabilities		Debtors	38,000,000
5 year loan from SA CCO	72,000,000	Bank	25,000,000
Current liabilities		Cash	18,000,000
Bank over draft	34,000,000		
Creditor	40,000,000		
	260,000,000		26,000,000

Teachers are confused with the financial details presented by the treasurer and have instructed him to compute and interpret transactions to the committee not later than next week. Due to stiff pressure the treasurer claim he has limited time and is seeking for help.

Using your entrepreneurial skills, help the treasurer to compute and interpret the following financial transactions to be presented to the teacher's committee

- i) Gross profit margin
- (ii) Net profit to sales
- (iii) Net profit to owners' equity
- (iv) Acid test ratio
- v) Stock turnover
- vi) Fixed asset turnover

vii) Debt to owners' equity

Item 6

KAMWANKA is a VAT registered wholesaler who deals in general merchandise operating in Kampala business Centre. His business is exposed to several risks which include theft and burglary, loss of profits and their consequential losses. After consulting successfully entrepreneurs in the country in related businesses, he was advised to undertake an insurance contract following an appropriate procedure; unfortunately he doesn't know where to start from. Meanwhile KAMWANKA faces a risk of being closed down by URA as a result of failure to comply with tax obligations. According to URA KAMWANKA has failed to file the VAT returns for the month of October 2025. KAMWANKA claims his accountant responsible for filing returns and computations of VAT liability went for maternity leave and she is expected to come back in May 2026. Available records in regards the purchases and sales made during the month of October 2025 are as follows.

Products and their measurements	Quantity bought and sold	Purchasing price(shs) per unit	Selling price per unit(shs)
Sugar(50kgs bag)	60	200,000	240,000
Wheat flour (canton)	45	80,000	100,000
Soap(25 bars soap)	80	125,000	134,000
Cooking oil (25litres jerry can)	55	140,000	165,000

Task

With reference to the scenario, guide KAMWANKA on the process he should follow to implement the advice and compute VAT liability for the month of October 2025 using 18% as VAT Rate.

END

EXPECTED RESPONSES(ONE CAN GENERATE MORE)

ITEM 1

Challenge identified: selection of a suitable business

Solution; joseph should operate a restaurant

Basing on the characteristics of a good business opportunity

Joseph should operate a restaurant due to the following reasons;

1. Low or moderate startup capital. A restaurant can be started up using the UGX 3M, Such amount can be used to purchase utensils, gas cooker for cooking ,initial food supplies and obtain cheap labor for example waitresses to serve customers.
2. Large market share. Very many people tend to buy foodstuffs during break, lunch and evening hours including busy workers who tend to leave work late and have no time for cooking. This will yield high profits for joseph.
3. Affordability. Food services are affordable by very many people and thus rare for meals to go unsold. This makes the business attractive and Puts joseph at a high advantage of selling his meals and generates income.
4. Acceptability .Eating out in restaurants is common and widely accepted within the community, so josephs business will easily be embraced.
5. Properly timed. There is a daily demand for restaurant services at all times of day including breakfast; lunch and dinner hence increased production of meals which in turn generate more returns.
6. Availability of raw materials. Food items like matooke, rice, beans and vegetables, fruits are readily available and can be obtained from nearby markets hence

e steady supply and quick production of meals.

7. Encourage creativity and innovation. Joseph can easily learn cooking skills and innovate different/variety meals as time goes on.
8. Good growth potential. A restaurant can easily survive for so long due to high demand for food services while generating high income for Joseph.
9. Reasonable return on investment/profitability/viability. Selling food has a good profit margin and with large customer base hence he can recover his capital and sustain a living.
10. Legal acceptability. The laws in Uganda allow businesses to operate so long as they have the required licenses and meet hygiene standards.
11. Ability to use local skills/labor. Joseph can easily employ local people for example relatives, friends, local chefs and waitresses to cook meals and serve customers. This reduces labour costs on foreign experts and maximizes profits.
12. Ability to meet the objectives of Joseph. Due to high demand for food services, Joseph can generate much income and meet his personal needs.

1 (b) challenge identified; describing the nature of the economic environment within which the restaurant operates

Solution; Economic environmental factors that justify a restaurant as a viable idea.

1. Cost of the business. The costs of starting up a restaurant are low for example the UGX 3M can purchase the required food supplies and meet other costs of operation for example labour and rent.
2. Nature of economic policy. There is entry freedom in the market as anyone can start a restaurant with minimal requirements. Multiple restaurants compete for customers.

Or (Prices are determined by supply, demand and competition for meals or/customers choose where to eat based on preferences).

3. Level of resource availability. Human, technological, and natural resources for example land for construction and raw materials including food supplies are readily available in Uganda.
4. Economic incentives. In Uganda restaurants enjoy a three year income tax holiday for citizen owned startups, aiming to boost innovation and reduce early stage costs.

There is also tax exemptions for agro-processing activities which could benefit restaurants sourcing local industries.

5. Legal requirements. There are clear legal requirements for restaurants for example obtaining a trading license from local authorities to effect operation.
6. Nature of financial systems. There are several micro finance institutions and commercial banks in Uganda that can easily provide small loans with reasonable interest for Joseph's restaurant using private property as collateral security.
7. Nature of infrastructural developments. A number of infrastructures have been constructed in Uganda for example tarmac roads that can ease transportation of raw materials to the restaurant and finished meals or food stuffs to target customers.

Customers can also easily access or move from distant places to the restaurant.

8. Administrative issues. Short procedure of business registration is evidenced in Uganda for restaurants as one can easily obtain a trading license from local council/register with URSB /Obtain a TIN from URA.

ITEM 2

Challenge identified. Limited knowledge on selection of raw materials.

Justification; Factors considered when selecting raw materials for ATLAS restaurant;

1. Quality of raw materials. Atlas restaurant should purchase fresh matooke, cooking oil and dust free rice to meet customers' needs and satisfaction.
2. Cost of raw materials. Cheap and quality matooke and rice should be purchased to minimize costs of production and generate higher returns for the owner.
3. Availability and reliability. Raw materials should be selected from suppliers who are readily available for example matooke, rice and other ingredients can be purchased from nearby local farmers and markets.
4. Risk of damage. Selected ingredients to be used should have low risks of damage during transportation and able to survive for long. The restaurant should purchase low quantity of perishables like tomatoes and matooke which can easily ripe or go bad.
5. Taxes on raw materials. Low taxable ingredients to be used in the restaurant should be highly considered to minimize production costs and maximize profits.
6. Reputation of the supplier. The ingredients or raw materials to be used should be obtained from well recognized suppliers/local farmers or markets i.e. those who have stayed in the market for long and well known for quality.
7. Quantity required. Well known quantities for raw materials should be established to meet production needs and reduce costs associated with under or over stocking.
8. Amount of waste. Ingredients to be used in the restaurant should generate low amount of wastes to avoid loss or misuse of raw materials produced.

9. Proximity of suppliers. Nearby suppliers should be selected for example nearby local farmers or markets to minimize costs on transportation and risk of damage.
10. Terms of purchase. Atlas restaurant should purchase raw materials from nearby suppliers with favorable terms of sale for example installment payment and credit selling.
11. Lead time. Restaurant ingredients should be obtained from suppliers with a short lead time to meet production requirements.

Challenge identified; limited knowledge on how to ensure quality production

Justification; ways of ensuring quality in atlas restaurant;

1. Sport checking the merchandise. Perishable ingredients like tomatoes, vegetables received and issued to the production sector should be clearly checked to ensure they are fresh and can meet quality standards.
2. Constantly carrying out customer survey. Use of customer satisfaction survey guides should be used to determine whether meals or food services provided meet customer's satisfaction.
3. Reducing prices of slow moving meals. Meals or foodstuffs whose rate of demand is slow should be sold at affordable prices to minimize losses.
4. Discussing merchandise returns (meals returned). Customers who return meals to the restaurant should be requested to provide reasons. This enables the restaurant to meet customer needs and ensure their satisfaction.
5. Motivating employees. Workers for example chefs and waiters or waitresses should be well motivated through prompt payments, additional allowances and praising them in public to ensure quality production of meals and services.

6. Using proper storage facilities. Finished meals should be kept away from water and dusty areas to avoid quality contamination.
7. Disposing off poor quality meals. Meals/foodstuffs which have gone bad should be sidelined to avoid contamination with other meals.
8. Giving clear instructions to worker. For example on the right quantity of water to be used during cooking and right ingredients to use during production.
9. Ensuring a clean environment. For example regular mopping of the floor in the production sector, serving centers, and washing utensils regularly to meet quality standards.
10. Purchasing quality raw materials to be used. Fresh ingredients/raw materials should be purchased for example fresh matooke, dust free rice, fresh tomatoes and onions to ensure quality during production.
11. Monitoring and supervision of workers. Chefs should be well monitored during production of meals to ensure right instructions are followed. Cameras can also be used to monitor the production sector.
12. Ensuring proper packaging meals. For example packaging food in dishes, portable tiffin's and silver plates to avoid contamination.
13. Ensuring proper distribution channels. Selling food/ meals to nearby customers directly to minimize risk of losses or contamination of quality.
14. Training of workers. Ensuring daily or weekly training to workers for example waiters on how to handle customers well and training chefs on measurements /determining amount of ingredients required.
15. Using quality/advanced machines. For example use of quality gas cookers or charcoal stoves for cooking, warmers to keep food or meals constantly warm/hot.

16. Employing skilled workers. For example qualified chef with at least a certificate in catering services to produce quality meals and skilled waiters to properly handle customers.

Item 3 a)

Challenge identified; procedure for ensuring tax compliance

Below are the steps to be followed by the traders to ensure tax compliance

1. Registering traders with URA. The traders can visit URA office or register their businesses online via URA portal to get the TIN.
2. Obtaining TIN. This involves traders providing their business documents like registration certificate and personal ID.
3. Preparing tax records. Traders should keep track of income, expenses and invoices / (income statements, cash flow statements etc.) to ascertain appropriate taxes.
4. Getting assessed for tax payment. Traders then get ready for tax assessment basing on their returns.
5. Submitting timely tax returns. Traders file their monthly VAT, PAYE and annual returns by deadlines.
6. Paying taxes imposed. This involves traders paying taxes through the bank, URA portal or mobile money.
7. Receiving feedback. Through checking the URA portal or contact them for assessments and refunds.

Challenge identified. Limited knowledge on the taxes to be paid.

Solution; different forms of taxes to be paid by traders in Uganda.

Below are the different taxes that traders should pay;

1. VAT (Value Added Tax). This is charged on the products on the value added as they are being distributed to customers.
2. Import duty. This will be charged on their imported goods to Uganda
3. PAYE. Charged on employees monthly salaries
4. Presumptive tax. This will be charged on poor record keeping for some traders.
5. Rental tax. This is charged on immovable property owned by traders for example land or commercial buildings.
6. Excise duty. Charged on goods locally produced by traders.
7. Capital gains tax. To be paid by traders on profits received from the sale of capital /financial assets.
8. Sales tax. It is imposed on total sales of goods and services of a business.

ETC

3 b

Dangers of non-tax compliance on the trader's business activities include the following;

1. Temporary or permanent closure of their businesses. URA may close down traders businesses temporarily or permanently hence loss of profits.
2. Denial of government support. For example disqualification from bidding, grants and subsidies maybe denied to traders.
3. Poor public image. This is through URA publishing traders businesses in the shame list hence poor public image.

4. Taking over the business management by URA or local authorities, this may lead to total collapse of traders businesses.
5. Penalty or surcharge on outstanding tax dues. The relevant tax authorities may end up taxing extra amounts on traders' business activities hence low profit margin.
6. Taking court action. Traders may be sued into courts of law by the relevant tax authorities who may lead to imprisonment over non paid taxes/tax obligations.
7. Denial of public or government contracts or tenders to traders as their businesses may be blacklisted by tax authorities.
8. Forceful payments. Traders may be forced by the relevant tax authorities to meet tax arrears from their business profits or their personal income.
9. Confiscating trader's goods by relevant tax authorities in case of smuggling. This may lead to loss of traders' capital invested.

SECTION B (Answered in line with tense used in the task)

Item 4

Challenge identified; limited knowledge on ways of withstanding competition and entrepreneurial skills applied in business.

The project is a snack business.

A PRESENTATION TO PARENTS EDUCATING THEM ON HOW ELITE SNACKS PROJECT WITHSTANDS COMPETITION AND ENTREPRENEURIAL SKILLS APPLIED.

Fellow community members, esteemed parents and the school administration good after

noon, my name is kayaga Julius a club president for elite snacks business. Am here today to highlight to you on how elite snacks business has been able to withstand competition and the different skills applied in operation of club activities.

Competition in business is where two businesses offering similar related products/services battle to win customers loyalty and acceptance. Entrepreneurial skills are abilities that enable individuals to identify, create and pursue business opportunities often involving innovation, risk taking and leadership.

Here are the different strategies used in elite snack business to withstand competition.

Providing high quality products. Our snacks are fresh and free from dust and therefore meet customers' needs and wants.

Providing variety of products. Elite snacks do produce crisps, samosas, and chapattis hence increased customer choice for products.

Keeping customers secrets private. All business debtors are only known by the club treasurer and not disclosed to all club members thus attracting more customers.

Ensuring proper handling of customers concerns. A desk in charge of handling customer's complaints is put in place. This enables the enterprise to finding solutions to the existing customer concerns.

Communicating to customers frequently. Advertising of business products is done on every Tuesday assembly and goods are also advertised through notice boards hence increased customer awareness.

Providing prompt services. For example communicating to each customer for only 20 seconds. This gives room to other customers to be served and reduces customer complaints.

Ensuring customer convenience. The business is only open every day from morning, lunch time and evening hours when students and other customers are free.

Charging fair or affordable prices. Our starting prices are shs 500 compared to our competitors who charge from shs 1,000.

Ensuring constant supply of products. A convenient re-order level of 30kgs of popcorn grains and 2 days for cooking oil. This ensures steady supply and quick production.

NB; add any other strategy applied can be added on the above points.

Entrepreneurship skills applied include the following;

Marketing skills. For example advertising skills, personal selling skills, and customer care skills.

Financial management skills. For example budgeting skills, and record keeping skills.

Communication skills. For example report writing and minute writing skills, listening skills.

Planning skills. For example, goal setting skills

Production skills. For example, branding and packaging skills

Creativity and innovation. We started a snack business and introduced popcorn businesses.

Time management skills. The business is opened early and closed late in line with the school schedule.

Human resource management skills. For example recruitment and motivation skills

NB ; Answer in line with the tense given in the scenario

Item 5

Problem identified; computation and interpretation of financial ratios

i) Gross profit ratio = $\frac{\text{gross profit}}{\text{net sale}} \times 100$

$$60M/24M \times 100$$

$$\text{Gross profit} = 25\%$$

Out of for every shs 100 of sales made, shs 25 was gross profit.

ii) $\text{Net profit to sales} = \text{net profit/net sales} \times 100$

$$35M/24M \times 100$$

$$\text{Net profit ratio} = 14.6\%$$

Out of every shs 100 of sales made shs 14.6 was net profit

iii) $\text{Net profit to owners' equity} = \text{net profit/owners' equity} \times 100$

$$35M/114M \times 100$$

$$\text{Net profit to owners' equity} = 30.7\%$$

For every shs 100 of owners' equity generates shs 30.7 as net profit.

iii) $\text{Acid test ratio} = \text{current assets-stock (closing)/current liabilities.}$

$$\text{Current assets} = \text{stock} + \text{debtors} + \text{bank} + \text{cash}$$

$$47M + 38M + 125M + 18M = 128M$$

$$\text{Bank overdraft} = 34M + \text{Creditors } 40M = 74M$$

$$128M - 47M / 74M$$

$$= 1.094$$

$$1:1:1$$

The business can pay its current liabilities using its quick assets 1.1 times.

iv) $\text{Stock turnover} = \text{cost of sale/ average stock}$

But average stock = opening stock + closing stock / 2

$$23M + 47M / 2$$

Average stock = Shs 35M

Stock turnover = 5.142

Stock turnover = 5.1 times

Interpretation: The business changed its stock 5 times

v) Fixed asset turnover = net sales / fixed assets X 100

$$240M / 132M \times 100$$

Fixed asset turnover = 181.8%

For every shs 100 invested in fixed assets generates shs 180 as net profit.

vi) Debt to owners' equity = long term liabilities / owners' equity x 100

$$72M / 114M \times 100$$

$$= 63.15\% \text{ OR } 63.2\%$$

For every shs 100 of owners' equity shs 63 is a claim as long term loan.

Item 6

Problem identification: computation of VAT and procedure for taking up an insurance contract.

Computation of VAT

Sugar

$$60 \times 200,000 = 12,000,000$$

$$60 \times 240,000 = 14,400,000$$

VAT liability = VAT rate x VAT Exclusive price

$$14,400,000 - 12,000,000 \times 18/100$$

$$2,400,000 \times 18/100$$

$$\text{Vat liability} = \text{Shs } 432,000$$

Wheat flour

$$45 \times 80,000 = \text{shs } 3,600,000$$

$$45 \times 100,000 = \text{shs } 4,500,000$$

VAT liability = VAT rate x VAT Exclusive price

$$4,500,000 - 3,600,000 \times 18/100$$

$$9,000,000 \times 18/100$$

$$\text{VAT liability} = \text{Shs } 1,620,000$$

Soap

$$80 \times 125,000 = \text{Shs } 10,000,000$$

$$80 \times 134,000 = \text{shs } 10,720,000$$

VAT liability = VAT rate x VAT Exclusive price

$$10,720,000 - 10,000,000 \times 18/100$$

$$720,000 \times 18/100$$

$$\text{Vat liability} = \text{shs } 129,600$$

Cooking oil

$$55 \times 140,000 = \text{Shs } 7,700,000$$

$$55 \times 165,000 = \text{Shs } 9,075,000$$

VAT liability = VAT rate x VAT Exclusive price

$$9,075,000 - 7,700,000 \times 18/100$$

$$1,375,000 \times 18/100$$

$$\text{VAT liability} = \text{Shs } 247,500$$

Procedure/ Steps in taking an insurance contract/cover/policy

NB; should be in order

Making inquiries. Kamwanka can visit insurance companies like jubilee insurance company and Sanlam insurance company and ask about the right insurance options to take for his general merchandise.

Applying for insurance and getting proposal form from the insurance companies. After obtaining information, he will fill the application form providing the details of his general merchandise and the amount of premium to pay.

Determining the premiums to pay. The insurer will assess the details and calculate the amount of money to pay for protection of his general merchandise.

Issuing the cover note. This will be immediately issued after kamwanka paying his first premiums and will later be issued with a cover note as temporary proof that his general merchandise is insured.

Issuing the policy/insurance cover/insurance contract. Kamwanka will be given the insurance contract showing all the terms and conditions of the policy undertaken.

Payment of subsequent annual premiums. Kamwanka general merchandise will then continue to pay his annual premiums to maintain his contract with the insurer.

END

TR.WABOMBA MUNIL